

Suzuki has a capex commitment of Rs 2,800 crore for the current fiscal and 1,400 crore in the next fiscal. "The thrust is on expansion of the K-series engine plant at Manesar by 2,50,000 cars a year, R&D, new products and marketing infrastructure," says Ajay Seth, CEO. Toyota Kirloskar is investing Rs 3,200 crore for a second plant in Bhiwadi to manufacture the new compact car Etios. "We will create a capacity for 75,000 cars and are optimistic on the long-term prospects for invest-

ment of Rs 1,100 crore. Bharat Forge, an auto component major, led by Baba Kalyani, is undertaking a massive upscaling of its capacity in forging, casting, fabrication, machining and assembly. "We have a capex of Rs 200 crore for this fiscal," says Kalyani.

If strong sales are the engine of growth for consumer durables, in infrastructure people are excited by the \$11-billion potential, says Amrit Pandurangi, head of infrastructure practice at PricewaterhouseCoopers.

of at least Rs 8,000 crore and expand the 10,000-15,000 workforce by another 7,000-8,000, he says. According to R. Shankar Raman, senior vice-president, finance, I&T has lined up a capex of Rs 5,000 crore in the next 2-3 years. "This is for projects like a new shipyard off Chennai, capacity for defence production, a new forging unit in collaboration with NPCIL, as well as existing projects in power and roads," he says.

JCB India, a big construction equipment player which last year unveiled the country's largest backhoe loader plant at Ballabgarh, has a capex of Rs 600 crore to Rs 700 crore. Managing Director Vipin Sondhi plans to deploy the capex in creating new products, ramping up capacity at the Ballabgarh plant and expanding the warehousing facilities at JCB's Pune plant, which is equipped with a technical training centre to train operators. "We have four product categories in construction equipment. Every year we want to introduce three to four new extensions," says Sondhi.

No doubt, the multiplier effect of these commitments is huge. Apart from spurring growth, there is the promise of jobs and economic prosperity. If this uptrend in capex continues, India will add 87.37 million new jobs by 2015 with a significant share of 32 per cent by the manufacturing sector followed by trade and construction, according to a report by the Associated Chambers of Commerce and Industry. Within the manufacturing sector, textile products, food products, beverages, transport equipment, metal products, leather products and machinery are expected to contribute the major part of increase in employment, points out the report. The 90,000 JCB machines sold so far in the country have generated employment for at least 1,80,000 people. Marico's new facilities in Himachal Pradesh will create employment (direct and indirect) for about 700 people and Jaypee is aiming at adding about 8,000 jobs through investments. The niggling concerns of rising inflation aside, India Inc looks set to bankroll its projects aggressively and steer the economy to the much-touted 9 per cent growth rate. ■



ments in India with the Government giving so much emphasis on infrastructure development," says Sandeep Singh, deputy managing director.

Utility vehicles leader Mahindra and Mahindra (M&M) has a capex plan of Rs 4,500 crore in the next three years, which according to Uday Phadke, president, finance, M&M, will be devoted to new products, a new platform, capacity expansion and R&D. The company, which unveiled its new Chakan facility early this year with a phased investment of Rs 5,000 crore, will use the capacity to manufacture from the 0.75-tonne Maxximo to the 49-tonne Navistar truck. Ashok Leyland, as part of its investment plan of Rs 2,000 crore over the next two years, has just unveiled its largest manufacturing facility in Pantnagar with an

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He adds, "The number is large and if we are talking about 30-35 per cent contribution from the private sector, the opportunity for investment is really big." Agrees Rahul Kumar, chief financial officer (CFO), Jaypee Associates, which is ramping up the cement capacity of 21 million tonnes (MT) to 33 MT with a capex of Rs 3,000 crore. "We plan to take up the capacity to 51 MT in three years which would need a capex